

You also have the risk of property damage, bad tenants or poor weather events. People could even egg your investment.

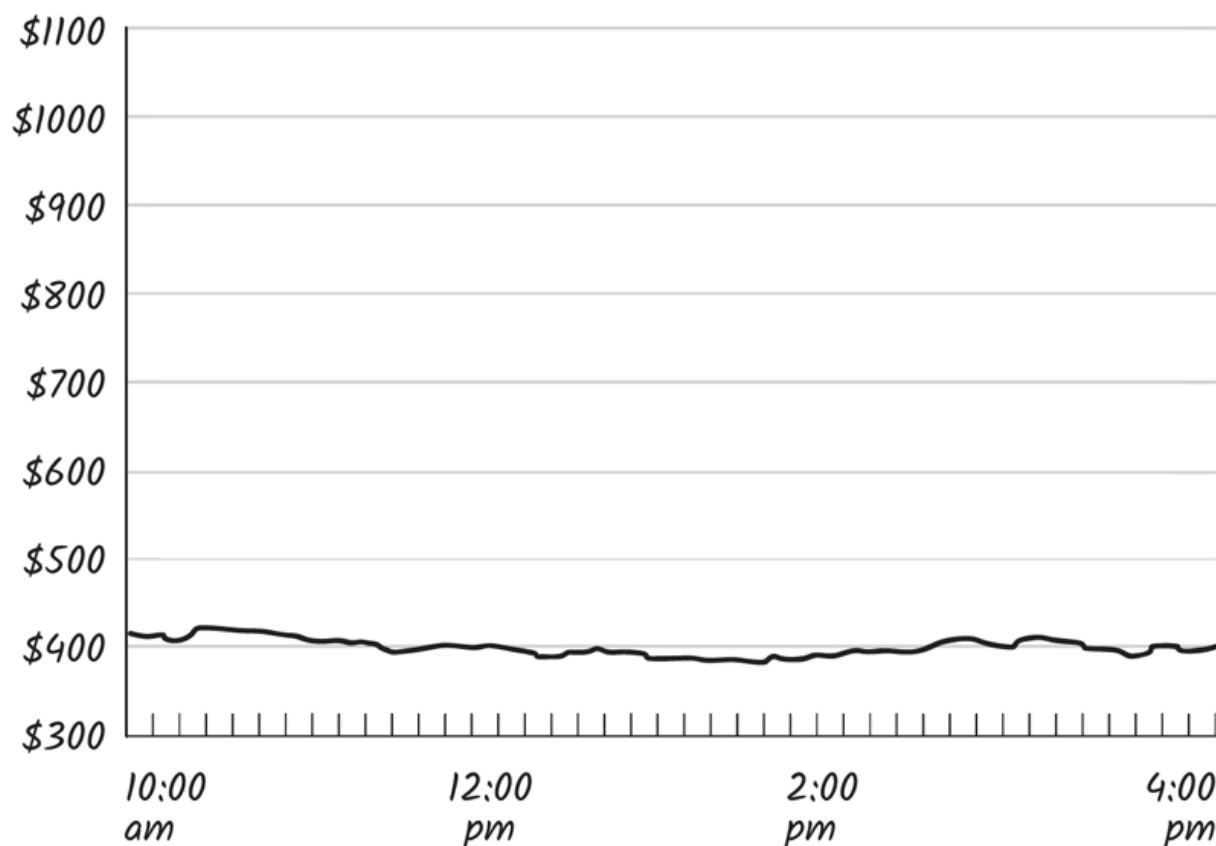


Figure 2.4: same data, different scale

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Another thing to point out is that in this economic climate, home ownership is not the easiest form of investment to get into. Wages aren't keeping up with the cost of living or house prices, and many young people are finding themselves pushed out of the market, but still wanting long-term wealth generators. I had a very similar experience: I couldn't afford a home just by saving, so I chose to invest through the stock market, which eventually helped me to get into my first home. If you don't have parental help (I didn't), investing in the stock market can sometimes be an option to work toward property ownership in the long term.

While property isn't a less risky investment, some may prefer property as it's an asset that they can see and touch, and therefore feels more real and grounded. Some investors find that owning a home can be a good